

Summary

Investors must always consider debt service ratios as these help to determine whether the company under consideration has the capacity to service its debts and repay its liabilities. This becomes all the more critical at times of high inflation and recession when the inability to service debt can plunge a company into bankruptcy.

Asset Management / Efficiency

It is by the efficient management of assets that companies make profits. Accordingly, investors must determine whether the assets a company has are adequate to meet its needs and whether the returns are reasonable. It must be remembered that assets are acquired either from capital or from borrowings. If there are more assets than is necessary, the company is locking up funds it could have used more profitably or, conversely, is paying interest needlessly. If the assets are less than required, the company's operations would not be using its resources as productively and effectively as possible.

Asset management ratios allow investors to determine whether a company has adequate assets and is utilizing them efficiently.

It is assumed that sales volumes are affected by the utilization of assets. Asset ratios are used to assess trends and to determine how well assets have been utilized. Comparisons can be made between one year and the next, between one company and another in the same industry, and in other industries. These ratios also help enormously in making forecasts and budgets.

It must be remembered, however, that like other ratios asset management ratios too are pointers. A high asset turnover does not necessarily suggest great efficiency or a high return on investments, it may be so because a company does not maintain adequate assets and this can affect its performance in the long run. Investors should therefore always look beyond the indications. It is important to bear in mind that a deterioration in asset ratios is a sign of decline and should be heeded.